

Mr. Blotnick made some interesting points. The most compelling to me, given my present state of mind, was that average investors aren't doomed by gods. Average investors are first and last doomed by the stupid ways they invest.

Mr. Blotnick found the biggest losers among the so-called sophisticated players, who got immersed in the Wall Street subject as much as yours truly. That none of his 53 winners was an "anxious student of the market" was an eye-opener. It reminded me that a close relative ignored the General Foods in her safe-deposit box for 20 years, through five market cycles with hundreds of analysts taking it on or off their "buy" and "hold" lists, and recently heard on the radio that General Foods was going to be taken over. She called her broker and discovered that her original \$10,000 was now worth \$180,000. I learned of her good fortune as I was watching the daily upticks and downticks, which leads me to Useful Tip Number 18:

A watched stock seldom appreciates

Mr. Blotnick could discover no correlation between knowledge of the market—at least in the general public—and successful investing. He said picking a "hot" stock is usually foolish and buying financial publications to get an investment edge rarely pays off. For one thing, you're already out the cost of the publications. I should mention that I now subscribed to the *Value Line Investment Survey* at \$400 a year, *Barron's* at \$70, and Al Frank's *Prudent Speculator* for an annual \$175, plus I occasionally picked up the *Wall Street Journal* for 50 cents. As I got more involved in the subject, the number of newsletters in my mailbox expanded exponentially, while the gains from the advice tended to approach zero.

The most useful of Mr. Blotnick's findings was the one about short-term versus long-term investing. Here, I thought, was a root cause of my problem. I bought Angstrom hoping for a short-term profit, but after its immediate rise, I held on to it, hoping for a long-term gain. When it went down, I sold half of it, reminding myself I was a short-term investor at heart.